

- » *Union dues and initiation fees, professional and business association dues, and job-related subscriptions to trade magazines and professional journals.* Make sure to deduct these expenses if you are not reimbursed for them by your employer.
- » *Tax preparation fees.* Even though these aren't directly related to work, you can deduct the cost of tax-related software and tax publications. You can also deduct money you pay to a tax preparer.
- **Medical expenses.** You can deduct out-of-pocket medical and dental expenses, for yourself or any dependent, that are greater than 7.5% of your adjusted gross income. Include premiums you pay for medical insurance, co-payments for doctor visits, the cost of birth control pills or cigarette-quitting programs, prescription medicines not covered by your health plan, and transportation needed for medical care.
- **Losses due to theft and disasters.** You're allowed to deduct the cost of items you lose in a burglary, fire, or other disaster that exceed 10% of your adjusted gross income. The first \$100 of losses above the 10% threshold is not deductible.

Deductions You Can Take Without Itemizing

Most deductions have to be itemized, and their total must be bigger than the standard deduction for them to be of any use. But there are exceptions to that rule. Here are four of the most important deductions you can take even if you don't itemize:

- **Contributions to a traditional IRA.** If you aren't eligible for an employer-sponsored retirement plan or if your income falls below a certain level, the money you contribute to a traditional IRA—though not a Roth IRA—may be deductible. (See Chapter 6.) If you're in the 25% tax bracket, a deductible \$2,000 IRA contribution will save you \$500 on